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Private and Confidential

{{EL_SIGNATORY_NAME}}
{{CLIENT_LEGAL_NAME}}
{{CLIENT_ADDRESS_LINE_1}}
{{CLIENT_ADDRESS_LINE_2}}
{{CLIENT_COUNTRY}}

{{GUIDANCE_01}}

{{LETTER_DATE}}

Introduction

This letter confirms the terms of the engagement of KPMG LLP (“**KPMG**” or “**we**”) by {{CLIENT_LEGAL_NAME_FULL}} (“**Client**” or “**you**”) to assist you in understanding the underlying performance of {{TARGET_DESCRIPTION}} {{TARGET_DEFINED_TERM}} as you consider various alternatives in respect of your {{DEAL_DESCRIPTION}} (“**Project XYZ**”). The following describes the objectives of our engagement and the nature of the services we will provide.

Objective

Our objective is to assist you as you evaluate potential strategic alternatives relating to Project {{PROJECT_CODE_NAME}}. In this regard, we will read certain financial and other information to be provided by {{CHOICE_CLIENT_OR_TARGET}}, apply certain analytical tools to the information provided, and perform such other procedures requested directed toward those business activities and related financial data you have identified as important to your proposed project. The engagement team providing services to you under this engagement letter will provide you with an objective assessment of the underlying financial performance of {{CHOICE_CLIENT_OR_TARGET}} (i.e. including both positive and negative considerations identified) and deliverables will reflect that assessment based upon the results of the procedures performed and the knowledge and experience of the KPMG team members serving you on this engagement.

Nature of Engagement and Scope of Procedures

The nature of this engagement consists of providing professional due diligence services in connection with your proposed divestment of Target. Such services will include preparing analyses and providing our insight, observations, and recommendations in those areas you have identified as important to your proposed divestment decision.

The procedures we have discussed and agreed with you to perform are detailed in Appendix A. We plan to perform these procedures either virtually or at your offices. These procedures are limited in nature and extent to



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those which you have determined will best meet your specific needs and as such will not necessarily disclose all significant matters about {{CHOICE_CLIENT_OR_TARGET}} or reveal errors or instances of fraud.

The procedures we perform in this engagement will not constitute an audit, examination, or review in accordance with any standards such as those established by the Auditing and Assurance Standards Board in Canada, and we will not otherwise verify the information we obtain or present in our {{CHOICE_REPORT_BRANDING}} deliverables. We will express no opinion or any other form of assurance on Target's internal control over financial reporting nor on the information presented in our deliverables, and we will make no representations concerning the accuracy or completeness of the information provided to us.

Terms and Conditions

Our engagement is subject to the Terms and Conditions for Advisory and Tax Services ("**Standard Terms and Conditions**") attached as Appendix B incorporated herein by reference. Any work already performed on this engagement prior to the date of this engagement letter is also governed by the terms and conditions of this engagement letter.

You hereby authorize us to discuss this engagement and review our deliverables with {{PE_OWNER_NAME}} **[[GUIDANCE_02]]** and your other advisors and representatives involved in Project {{PROJECT_CODE_NAME}}.

Reporting

We will communicate the status of our work to you throughout our engagement. We will present our findings to you in {{CHOICE_REPORT_FORMAT}} ("**our report**") at the completion of our engagement, based on the results of performing the work described in Appendix A.

We will discuss with {{CHOICE_CLIENT_OR_TARGET}} personnel a draft of our report to confirm its factual accuracy. We will request a confirmation signed by an officer of {{CHOICE_CLIENT_OR_TARGET}}, in the form attached as Appendix D, confirming the factual accuracy of the draft report. Subsequently, we will issue our report to you, for your internal use.

Because of its special nature, our report is not suited for any purpose other than to assist you in your evaluation of Project {{PROJECT_CODE_NAME}}. Accordingly, our report and all information will be restricted solely for your use in accordance with Sections 4 and 17.c of the Standard Terms and Conditions. However, with our prior written permission, should you wish to circulate the report to other parties on a non-reliance basis and for informational purposes only, we will request that you (a) sign a release and indemnity in favour of KPMG ("Client Release Letter") related to the distribution of the report, and (b) provide a written acknowledgment from the requesting party of the terms of the release of the report ("Third Party Access Letter"), each in the form respectively attached in Appendix C. The Client Release Letter and Third Party Access Letter must be returned to us prior to any release of the report.

[[GUIDANCE_03]]

Tax Reporting Standards

Written advice provided to you under this engagement letter will be based on facts, representations, assumptions, and other information that {{CLIENT_AND_OR_TARGET}} provide to us, the completeness, accuracy and timeliness of which are critical factors in our ability to timely and accurately complete our services. Unless you request and we agree in writing after our advice has been issued in final form to you, KPMG will not



update our advice to take into account your updating the facts you provide to us through your discovery of new or additional facts, or your updating any information that may have formed the basis of any assumptions we made in developing our advice. Please refer to Section 16 of the Standard Terms and Conditions.

{{GUIDANCE_04}}

Potential Mandatory Disclosure Reporting

A growing number of countries are enacting Mandatory Disclosure Regimes (“**MDRs**”), which require advisors, like KPMG and non-Canadian firms within the KPMG network of independent member firms (“**Member Firms**”), to disclose qualifying arrangements to the relevant local taxing authorities. Non-compliance with MDRs may result in significant penalties.

Accordingly, Client hereby acknowledges that KPMG, Member Firms and/or Client may be required to disclose qualifying arrangements to the relevant taxing authorities. Unless prevented by law, KPMG will use good faith efforts to inform Client if KPMG is required to provide, or KPMG becomes aware that a Member Firm is required to provide, {{CHOICE_CLIENT_OR_TARGET_POSSESSIVE_2}} information to relevant taxing authorities with respect to a qualifying arrangement covered by this engagement letter. Furthermore, when feasible, KPMG will consider reasonable input from {{CLIENT_AND_TARGET}} in connection with a KPMG disclosure. Client will use good faith efforts to inform KPMG if {{CLIENT_OR_TARGET}} is required to disclose a qualifying arrangement to relevant taxing authorities with respect to a qualifying arrangement covered by this engagement letter. Client is advised to consult with a tax or legal professional service provider proficient in such MDRs for assistance in this regard; for greater certainty, KPMG will not provide any advice with respect to the MDR disclosure requirements.

To the fullest extent permitted by law, KPMG is not liable to {{CLIENT_OR_TARGET}} for any consequences, claims, penalties, fines, actions, proceedings, liabilities, costs, expenses, losses, or demands that may result or arise from or otherwise be connected with any disclosure under MDRs.

{{GUIDANCE: Tax Risk Management recommends the inclusion of the following paragraph if KPMG might provide tax services to Client under this EL and Client conducts business or resides in Québec:

If {{CLIENT_OR_TARGET}} carries on business or resides in Québec, KPMG wishes to advise you that Québec introduced legislation that prohibits a taxpayer who has carried out a transaction, or series of transactions, that is subject to a Revenu Québec final assessment based on the general anti-avoidance rule, from being able to obtain authorization from the *Autorité des marchés publics* (“**AMP**”) to bid for or obtain public contracts. The taxpayer will be listed in the Register of Enterprises Ineligible for Public Contracts for a period of five years from the time the name is entered on the list.

{{GUIDANCE_05}}

Independence Considerations

As you are aware, Client is a {{CHOICE_SEC_STATUS}} of KPMG. Therefore, the scope of our work is subject to certain limitations in order to maintain our independence.

Our reporting will present our objective analysis and commentary based upon the information obtained and will not provide assurance on any projected financial information you may prepare with respect to {{CHOICE_CLIENT_OR_TARGET}}.



Based upon the nature of our work (and limitations with respect to maintaining our independence), our work will not extend to facilitating or leading your Project {{PROJECT_CODE_NAME}} meetings or workshops, nor will we assist you in preparing {{CHOICE_CLIENT_OR_TARGET_POSSESSIVE}} financial model or any projected financial information in connection with this engagement.

{{GUIDANCE_17}}

Management’s Responsibilities

With regard to KPMG’s services delivered in accordance with this engagement letter, Client is responsible for:

- designating a management-level individual of appropriate seniority and authority to oversee Project {{PROJECT_CODE_NAME}} and to address issues as they arise. The individual must have the skills, experience, and knowledge of {{CHOICE_CLIENT_OR_TARGET_POSSESSIVE}} business necessary to effectively perform this function. We understand that {{MGMT_CONTACT_NAME}} will fulfill these responsibilities;
- determining the objectives, scope, and extent of KPMG’s services;
- making management decisions and perform all management functions; and
- evaluating the adequacy, and accept responsibility for any transaction that is completed relating to Project {{PROJECT_CODE_NAME}} and the services performed.

Client also acknowledges and agrees that KPMG’s services may include advice and recommendations (including with respect to negotiation strategies and key terms) but all decisions with respect to Project {{PROJECT_CODE_NAME}} and our advice and recommendations shall be the responsibility of Client.

Timing

We acknowledge that the timing of our work is important to your needs. You acknowledge that our ability to gather information that you require and to complete our work in a timely manner within our estimate of fees depends upon a variety of factors outside of KPMG’s control, including but not limited to, the availability of the information, the degree of co-operation KPMG receives from Client and/or Target personnel and your other advisors.

We are prepared to complete our procedures expeditiously, in accordance with the following timetable:

Commence work	Immediately
Delivery of initial draft report for comments	{{DATE_COMMENCE}}
Delivery of draft report	{{DATE_DRAFT_DELIVERY}}

Engagement Team

Your engagement team will be led by the following professionals:

Lead Engagement Partner	{{TEAM_PARTNER_NAME}}
Engagement Senior Manager	{{TEAM_SENIOR_MANAGER_NAME}}

and such other assistance as may be required.

Professional Fees
 {{GUIDANCE_18}}



Our professional fees are based on the actual time required to complete the agreed upon work at hourly rates identified for the individuals who perform the services. {{FEE_DISCOUNT_CLAUSE}}% discount from our standard hourly rates. Neither the amount of our fees nor the payment of our fees and expenses will depend upon whether you move forward with any transaction. Based on the scope outlined in Appendix A and the estimated hours required to complete our work, our fee budgets by service are as follows (estimates are net of your {{FEE_DISCOUNT_PERCENT}}% discount):

<u>Sell-side service</u>	<u>Estimated fee range (in CAD)</u>
Financial due diligence	{{FEE_FDD_RANGE}}
Report update for additional monthly results	{{FEE_UPDATE_AMOUNT}}
Out-of-scope requests (e.g. calls with bidders, SPA review and commentary, rep & warranty insurance calls, etc.)	Discounted hourly rates

In accordance with standard industry practice, our professional fees are also subject to a 10% technology and support charge to cover information technology infrastructure costs and administrative support of our client service personnel which are not included in our professional fees. The technology and support charge covers costs such as our client service personnel computer hardware and customized KPMG software, telecommunications equipment, client service professional administrative support, IT programming professional services and other client support services. Reasonable out-of-pocket costs, such as travel, meals, accommodations, and third party database costs, will be charged in addition based on our actual costs.

All fees and other charges do not include any applicable federal, provincial, or other goods and services or sales taxes or duties whether presently in force or imposed in the future. Any such taxes or duties shall be assumed and paid by Client without deduction from the fees and charges hereunder.

Additional costs may be required as a result of any material change in the engagement or difficulties in obtaining information which could not reasonably be foreseen and which cause additional work not included in the original fee estimate. We will discuss and obtain approval from you of any material changes in the engagement or difficulties in obtaining information prior to performing any additional work.

{{GUIDANCE_07}}

It is expressly agreed that all invoices issued by KPMG with respect to this engagement will be addressed solely to {{BILLING_ENTITY_NAME}}. For this engagement, we will issue our invoices to Client for costs incurred following the schedule below:

- First invoice for {{FEE_INVOICE_AMOUNT}} issued upon delivery of the preliminary draft report for comments;
- Second invoice for {{FEE_INVOICE_AMOUNT}} issued upon receipt of the factual accuracy letter signed by Client relating to the draft report version which may be shared with potential bidders on a no-reliance basis.
- Invoices relating to time spent on report updates, calls with bidders, SPA commentary, and other out-of-scope procedures will be issued on a monthly basis.

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Invoices are due when rendered. Interest on overdue accounts will be charged and will be calculated at the rate of 1% per month commencing 30 days following the date of the invoice.

{{GUIDANCE_09}}

Other Relationships

As previously disclosed to you, {{EXISTING_SERVICES_DESCRIPTION}} to {{BIDDER_NAME}} (“**Bidder**”) {{EXISTING_SERVICES_CAVEAT}}.

Ethical Divider and Confidentiality Procedures

To provide additional protection against the unauthorized disclosure of confidential information we possess concerning {{CLIENT_AND_BIDDER}}, we have put confidentiality procedures in place, including the following:

- {{CONFIDENTIALITY_PROCEDURES}}

{{GUIDANCE_10}}

Consent, Release, and Indemnity

By signing this letter, you confirm that Client is satisfied with the foregoing confidentiality procedures and you further agree that Client:

1. will not, at any time, commence any action, suit, or proceeding or make any demand, complaint, or claim against KPMG, its subsidiaries or affiliates, or their partners, directors, officers, or other personnel during or subsequent to this engagement alleging that KPMG was in a conflict of interest by providing services to both {{CLIENT_AND_BIDDER}}.
2. will indemnify and hold harmless KPMG, its subsidiaries and affiliates, and their partners, directors, officers, and other personnel from any demand, complaint, action, suit, proceeding, or claim by any third party {{INDEMNITY_EXCLUSION}} that alleges that KPMG was in a conflict of interest by providing services to both {{CLIENT_AND_BIDDER}}.

Debriefing

On completion of the engagement, as part of our commitment to the quality of our services, we would welcome the opportunity to receive your views on the work carried out by KPMG and the services delivered.

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Confirmation

Please indicate your acceptance of these terms by signing and returning one copy of this letter to the undersigned. We are pleased to discuss this letter and our engagement with you at any time. We look forward to working with you on this interesting engagement.

Yours truly,

KPMG LLP

{{GUIDANCE_11}}

{{GUIDANCE_12}}

By: {{SIGNING_PARTNER_NAME}}, CPA, CA
Partner, Deal Advisory

{{GUIDANCE_13}}

By: {{SIGNING_PARTNER_NAME}}
Authorized signatory of KPMG LLP
Partner, KPMG Canada
Deal Advisory

Accepted for and on behalf of {{CLIENT_LEGAL_NAME_ACCEPTANCE}}:

I have read and understood the terms and conditions of this engagement letter and I agree to accept them for and on behalf of {{CLIENT_LEGAL_NAME_ACCEPTANCE}}, having appropriate authority to engage the entity.

Signature of authorized signatory

Print name and title

Date

SELL-SIDE FINANCIAL DUE DILIGENCE***Business overview***

- *Meet with Target's officers and management in order to develop an understanding of operations, including its:*
- *Basis of financial information;*
- *Organization structure;*
- *Historical growth by geography; and*
- *Finance function, financial reporting framework and internal control environment.*
 - *Meet with Target's officers and management to obtain background information about Target, including its:*
 - *History;*
 - *Organizational structure and management reporting relationships;*
 - *Services offered;*
 - *Trends in payor mix;*
 - *De novo expansion;*
 - *Financing arrangements with patients, if applicable;*
 - *Business risks and opportunities; and*
 - *Information systems.*

Accounting overview

- *Read Target's financial statements and discuss Target's accounting policies and practices with management, including:*
- *Finance function, financial reporting framework, and management reporting relationships (including processes, timing, structure of financial reporting, and interaction with the information/accounting systems);*
- *Significant accounting policies and recent or contemplated changes in accounting principles, procedures, or estimates;*
- *Significant accounting estimates (e.g. bad debt provision, rebates, capitalized R&D, etc.); and*
- *Intercompany accounts and related party transactions, if any.*
- *Analyze the accounting policies as disclosed in the audited financial statements and perform a high-level gap assessment to identify differences between the Target's accounting policies and practices and IFRS Accounting Standards as applied by Parent.*
- *Consider if the following accounting policies have been applied consistently within and across historical periods:*
 - *Cash versus accrual accounting policies;*
 - *Capitalization policies;*

- *Depreciation policies; and*
- *Differences between interim and year-end procedures; and*
- *Revenue recognition policies;*
 - *Reporting methodology;*
 - *Basis for cost allocations, if any;*
 - *Revenue recognition policies by service type, and any recent changes in policy;*
 - *Significant accounting estimates;*
 - *Recent or contemplated changes in accounting principles, procedures, or estimates;*
 - *Intercompany accounts and related party transactions;*
 - *Non-recurring transactions.*
- *Read Target's financial statements and discuss them with management to gain an understanding of accounting policies and practices including:*
- *Finance function, financial reporting framework, and management reporting relationships (including process, timing, structure of financial reporting, and interaction with the information/accounting systems);*
- *Significant accounting estimates (i.e. allowances for doubtful accounts, inventory provisions, accruals, etc.);*

Quality of earnings

- *Identify, and where possible quantify, potential earnings before interest, taxes, depreciation, and amortization ("EBITDA") normalization items by considering:*
- *The impact of the normalization adjustments identified by Management;*
- *Large, unusual or non-recurring events, or transactions that may have distorted results;*
- *The impact of any changes to senior management or management team structure;*
- *The impact of provisions (allowance for doubtful accounts, inventory obsolescence, other), management estimates or adjusting entries on the reported results;*
- *The impact of foreign currency transactions;*
- *The impact of related party transactions and shared services provided by other entities, if applicable;*
- *The impact of any changes in accounting policies, procedures and estimates; and*
- *Other potential items identified during the due diligence process.*
 - *Summarize potential adjustments identified regarding the profit and loss performance of Target in the form of a quality of earnings analysis, summarizing the risks that may impact EBITDA, including:*
 - *Management identified adjustments;*
 - *Non-recurring revenue and expenses;*
 - *Significant out of period revenue and expense (e.g., cash to accrual accounting impact); and*

- *Pro forma impacts for items such as recent de novo.*
- *Read and comment on the adjusted EBITDA prepared by Target and its sell-side advisors, and:*
- *Roll-forward the quality of earnings analysis included in the sell-side diligence report accordingly;*
- *Propose any additional potential adjustments to historical earnings before interest, taxes, depreciation, and amortization ("EBITDA"), presented on a consolidated basis, by considering:*
- *The validity / impact of adjustments proposed by Management and the sell-side due diligence advisors, including Restructuring costs; Impact of loyalty program breakage; Sourcing changes; Vacation policy change; Accounting changes; Other normalization adjustments; Pro forma and run-rate adjustments; Carve-out, stand alone, corporate allocation considerations.*
- *Work with Client to consider synergy considerations, purchasing rebates, etc. (See below synergies validation for additional detail);*
- *Other large, unusual or non-recurring events or transactions that may have distorted results;*
- *Other potential items discovered in the due diligence process.*

Revenue analysis

- *Obtain a comprehensive view of revenue and margins. Obtain the underlying transactional data (i.e. sales database), if available, and gain an understanding of the major trends in revenue and margins addressing areas including:*
- *Revenue and margin by significant customer and end market/ segment/ region;*
- *Price and volume trends.*
- *Discuss with Management:*
- *impact of large or long-term orders/ seasonality (if applicable); and*
- *any non-recurring components of revenue.*
- *customer category (i.e. individual, business);*
- *distribution channel (i.e. online, wholesale, etc.); and*
- *price, volume, mix and cross-sell analysis.*
- *Seasonal fluctuations in demand and monthly sales trends; and*
- *Obtain and read an analysis of Target's revenue and inquire about:*
- *Gross to net revenue;*
- *Revenue recognition policies;*
- *Revenue and gross margin by customer;*
- *Organic growth and delineation between price vs. volume;*
- *Pricing practices;*
- *Promotions and discounts;*
- *Any non-recurring components of revenue;*
- *Revenue seasonality, if any;*

- *Other components of cost of sales and key suppliers.*
 - *Obtain and read center-level financial information including key operating metrics as well as related revenue and EBITDA. Inquire of Target regarding unusual trends or fluctuations in center performance over the historical period, including:*
 - *Unusual or non-standard contracts;*
 - *Bridge revenue and profitability for the following changes:*
 - *Same location and de novo center;*
 - *Center-based vs. home-based;*
 - *Type of procedure by CPT code;*
 - *Top patient and/or top payers; and*
 - *Changes in direct and indirect operating expenses.*
 - *Center-level expense trends;*
 - *Allocations of corporate overhead costs, if any;*
 - *De novo start-up costs; and*
 - *Components of other income and expense for the historical periods. Consider items that may impact EBITDA.*
 - *Understands the health and sustainability of revenue and margin, that will bring clarity and insights into the drivers of business performance to strengthen deal conviction. Provides confidence in value creation planning / realization by uncovering opportunities earlier.*
 - *Leveraging proprietary analytics tool, use the transaction / sales database from the IT / ERP systems to analyze revenue and profitability (cost, price, margin), key KPIs (e.g., average sales price, average order size, etc.) and performance trends (e.g., concentration, price-volume-mix, high growth SKUs, negative margins, etc.); evaluating by front-store and Pharmacy (Rx), Category (Dispensary, Over-the-Counter Products, Health and Beauty, Home Healthcare, Grocery, etc.), sub-category (by brand and sub-category), channel (brick & mortar, eCom), by brand, and by geography (store ID, postal code, city, etc.)*
 - *Where information is available, also include Front of Store Partners (e.g., etc.) and eCom Partners (., etc.)*
 - *Where information is available, generic versus branded drugs*
 - *Where information is available, public, private, or cash*
 - *Integrate anonymized customer data to understand revenue and mix (one-time versus recurring) across different locations; use of loyalty programs loyalty programs (e.g., impact of discounts, recurring nature of customers, etc.); and how this impacts overall revenue sustainability*
 - *Store costs analysed as a percentage of sales or applicable metric (selling payroll, other store payroll, store rent, marketing, shrinkage, sales-by-square footage, etc.).*
 - *Sales and COGS adjustments (including sales returns, markdowns, supplier revenue, stock shrinkage, obsolescence, other income, loyalty points and gift cards);*

- Consolidate the data into a clean Excel data cube and PowerBI Analysis file, and extract and understand any patterns and trends that might inform value creation and optimization opportunities

Operating expenses

- Obtain and read an analysis of Target's expenses and inquire about:
- Costing methodology;
- Cost of sale trends, impact of material change in vendors (if any);
- Employee compensation and related costs by function;
- Selling, general, and administrative expenses;
- Repairs and maintenance expense;
- Unusual and extraordinary items (if any).
 - Obtain and read an analysis of Target's expenses and inquire about:
 - Behavior Therapists (registered and unregistered) and Board Certified Behavior Analyst; compensation and benefits, including incentive compensation and historical turnover;
 - Non-provider salaries, wages, and benefits, including incentive compensation;
 - Owner compensation and benefits;
 - Treatment supplies, including key suppliers and purchasing terms;
 - Center-level costs and sub-leasing arrangements;
 - Insurance expense;
 - Selling, general and administrative/corporate expenses;
 - Overhead allocations; and
 - Unusual and extraordinary items.
- Obtain and read an analysis of the Target's selling, general and administration expenses and inquire about:
- Salaries and wages (including headcount by area and function, if possible);
- General and administrative expenses;
- Information systems expenses;
- Corporate costs and any allocations to store level as applicable; clarify expenses with
- Extraordinary expenses;
- Rent and leases; and
- Miscellaneous and other expenses.

Working capital

- Obtain monthly details of the Company's consolidated working capital and analyze and comment on:

- *The composition of individual working capital accounts (e.g., trade receivables, accounts payable and accruals, etc.);*
- *Monthly working capital trends, metrics, and seasonality;*
- *Large, unusual, or non-operating items that may have affected normal working capital trends, (such as accruals for bonuses, capital accruals, month end vs quarter end differences, etc.); and*
- *Understanding the accounting impact of allowance for uncollectible amounts and other accruals requiring judgment.*
 - *Obtain and read an analysis of working capital on a monthly basis. Inquire about historical trends, including seasonality, fluctuations in key metrics such as days revenue outstanding, days payable outstanding, and working capital as a percent of trailing revenue, and other significant items.*
 - *Summarize historical working capital in the business including:*
 - *The composition of individual working capital accounts (e.g. trade receivables, inventory, accounts payable and accruals, etc.);*
 - *Working capital trends and impact on reported metrics;*
 - *Large, unusual or non-operating items that may have affected normal working capital trends, (such as accruals for bonuses, understanding non-trade balances, etc.);*
 - *Understanding the accounting impact of allowance for uncollectible amounts, provisions, and other accruals requiring judgment;*
 - *Working capital seasonality; and*
 - *Historical trends in key working capital metrics.*

Accounts receivable

- *Obtain and read an analysis of the Target's accounts receivable and inquire and comment on:*
- *Billed/unbilled aging analysis, turnover and days sales outstanding;*
- *Credit terms;*
- *Trade and non-trade balances;*
- *Allowance for uncollectible accounts and write-offs.*
 - *Obtain and read an analysis of Target's accounts receivable and inquire about:*
 - *Aging analysis by center by payor;*
 - *Contractual allowances;*
 - *Allowance for doubtful accounts and write-offs;*
 - *Prior period accounts receivable adjustments;*
 - *Self-pay and credit balances;*
 - *Collection experience; and*
 - *Other reserves and adjustments.*
 - *Aging analysis and related credit terms (including special terms);*

- Allowance for uncollectible accounts and write-offs; and
- Reserve and adjustments.

Accounts payable and accrued liabilities

- Obtain and read an analysis of accounts payable, accrued liabilities and customer deposits and inquire about:
- Accounts payable aging and days outstanding;
- Accrued liabilities;
- Supplier settlement terms; and
- Other current and non-current liabilities.
 - Obtain and read an analysis of Target's accounts payable and accrued liabilities and inquire about:
 - Accounts payable aging;
 - Deferred revenue; and
 - Obtain and read an analysis of Target's accounts payable and accrued expenses and inquire about:
 - AP aging analysis, terms of trade with major vendors and days payables outstanding;
 - Accrued expenses; and

Capital expenditure requirements

- Obtain and read an analysis of existing and future capital cost requirements including:
- Maintenance versus growth capital expenditures;
- Other historical, deferred, and planned capital expenditures
 - Obtain and read an analysis of Target's fixed assets, capital expenditures, and other assets and inquire about:
 - Historical, deferred and planned capital expenditures;
 - Capitalized internal labor;
 - Under-utilized assets; and
 - Impairment write-downs and issues.
 - Obtain and read an analysis of historical and future capital cost requirements including:
 - Fixed asset continuity schedules (including significant additions and disposals);
 - Maintenance versus growth capital expenditures; and
 - Planned, committed, and deferred capital expenditures.

Commitments and contingencies

- Inquire about significant commitments and contingent liabilities including:
- Pending or threatened litigation or investigations by regulatory or other authorities; and

- *Contractual obligations, including leases;*
- *Purchase commitments; and*
- *Employee agreements (e.g. transaction/retention bonuses, change-in-control, deferred compensation, or severance agreements, etc.);*
- *Incentive compensation and employee benefit obligations;*
- *Expected or contingent liabilities (e.g. environmental, litigation, regulatory and tax); and*
- *Other off-balance sheet transactions.*
 - *Debt;*
 - *Self-insurance;*
 - *Post-retirement benefits;*
 - *Incentive compensation plans;*
 - *Leases;*
 - *Pending or threatened litigation or investigations by regulatory or other authorities;*
 - *Capital expenditures; and*
 - *Other significant and/or unusual liabilities.*

Net debt

- *Summarize and comment on net debt items (on and off-balance sheet) presented by Management and other potential debt-like items;*
- *Consider whether elements of working capital have the nature of and may be reclassified as net debt, and if so, summarize the potential impact of these adjustments on working capital and net debt; and*
 - *Obtain, read, and discuss with management net debt and debt-like items, whether recorded on the balance sheet or off-balance sheet, including the expected future payout timing and amounts.*
 - *Prepare a summary of debt and debt-like items (e.g. notes payable, capital vendor payables, deferred purchase price of property or services, accrued bonuses, capital lease obligation, etc.), commitments and contingencies.*

Store Portfolio Analysis

- *Obtain store P&L data to perform analysis to understand the drivers of historical sales and profitability development within the store portfolio to perform the following (to the extent possible based on information availability and transaction timelines):*
- *Sales and profitability by store location (including same store sales analysis, front store vs pharmacy, cost and margin profiles);*
- *Segment the store portfolio to assess historical performance based on the following:*
- *Outlier performance – top quartile vs bottom quartile performing stores*
- *Store-type – Suburban / Dense Urban / Rural / etc., size format, storefront vs mall, etc*
- *Existing (same) stores, new stores, renovated stores, closed stores; standard, specialty, next gen*

- Cohort analysis based on vintage year;
- Ramp analysis to understand ramp profile and assess reasonability of pro forma revenue and EBITDA maturity adjustments for recently opened locations;
- Store productivity and KPI metrics (e.g. Rx count, Rx revenue per Rx, sales/profitability per square foot);

Inventory

- Obtain and read an analysis of Target's inventory and inquire and comment on:
- The inventory valuation methodology (e.g. standard costing);
- Significant vendor allowances, rebates, allowances and/or purchase commitments and related programs;
- Return to vendor provisions;
- Inventory aging and estimated provision, if any (i.e. slow-moving inventory).

Other Assets

- Obtain a summary of and comment on unusual items, significant fluctuations, and significant balances.

Purchase And Sale Agreement

- Read available draft of the Purchase and Sale Agreement and offer commentary to you and your attorneys primarily concerning sections relating to accounting matters, based on the results of the due diligence assistance we provide to you. You agree to review with your attorney all our comments and suggestions concerning the Purchase and Sale agreement before acting on any of our suggestions.

Assistance With Transaction Documentation

- Assist with relevant asset purchase agreement financial definitions (e.g. net working capital and debt-like item definitions and adjustment procedures).

Waterfall Revenue Analysis

- If available, obtain patient/encounter-level detail from the billing and collections systems utilized by Target to perform a claims-level revenue analysis reflecting net cash received on closed claims, and estimated cash expected to be received on open claims (based on historical reimbursement trends). Discuss with management:
- Drivers of monthly/quarterly/annual net revenue trends:
- By location (8 clinic locations and 2 de novo locations);
- By significant payor; and
- By significant service code.
- Reimbursement trends by payor, by service, and by location;
- Pricing/volume trends by location by payor by service;
- Payor mix in total and by location;
- Trends and drivers of fluctuation in the cash collection cycle;

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- *Reconciliation of cash collections reported in the billing system to third-party bank statements (on a sample basis);*
- *Reconciliation of billing and collection information to financial statements; and*
- *Bridge revenue for the following changes:*
- *Patient volumes;*
- *Same store, de novo, and acquired facilities; and*
- *Changes in direct and indirect operating expense*

Audit Working Papers

- *Obtain and read the auditor's working papers for the latest fiscal year:*
- *Comment on the nature and volume of audit differences (recorded and unrecorded adjustments), use of accounting estimates, any changes in accounting policies or methods; and*
- *Comment on control issues identified by the external auditors, if applicable.*
- *Comment on any additional "red flags" or key risks as identified in the provided audit materials*
- *Review of the audit committee reporting and presentations from the audit firm*

These Terms and Conditions are an integral part of the Engagement Letter. In the event of conflict between the Engagement Letter and these Terms and Conditions, these Terms and Conditions shall prevail unless specific reference to a provision of the Terms and Conditions being varied is made in the Engagement Letter.

1. Definitions.

"Affiliate" means any legal entity that, directly or indirectly, controls, is controlled by, or is under common control with, the applicable entity, where "control" means ownership of more than fifty percent of the outstanding voting equity interests.

"Agreement" means the contract formed by the Engagement Letter and any attachments thereto, including these Terms and Conditions.

"Claims" means actions, damages, claims, fines, penalties, complaints, demands, suits, proceedings, liabilities, costs, expenses, or losses.

"Client" means the client(s) under the Engagement Letter.

"Client Materials" means any materials, equipment, systems, software/software as a service, data and information supplied or made available by or on behalf of Client to KPMG in connection with the Services.

"Confidential Information" means any information made available, directly or indirectly, by one party to the other in connection with the Services or otherwise pursuant to this Agreement that is marked or communicated as confidential or that due to its nature a reasonable person under like circumstances would consider it confidential. Confidential Information includes, without limitation, Personal Information, business plans, proprietary software code and specifications, information about a party's products, processes, services, finances and customers, and the terms of this Agreement, except (but not as regards Personal Information) to the extent such information: (i) is or hereafter enters the public domain through no fault of the receiving party; (ii) is already or hereafter becomes known to the receiving party free of any obligation of confidence; or (iii) is developed by the receiving party independently of the disclosing party's Confidential Information.

"Deliverables" means the written advice, reports, presentations and other tangible items created by KPMG for delivery to Client that are specified as deliverables in the Engagement Letter.

"Engagement Letter" means the engagement letter or other document referencing these Terms and Conditions.

"KPMG" means the KPMG entity that issued the Engagement Letter.

"KPMG Parties" means KPMG, other Member Firms, the legal entities comprising KPMG International (which do not provide services to clients) and their respective partners, directors, officers, employees, agents, subsidiaries, Affiliates and related entities. KPMG Parties may be in or outside of Canada.

"KPMG Property" means all rights and interest (including all intellectual property rights) in and to: (i) all inventions, trade-secrets, methodologies, know-how, concepts, ideas, techniques, works of authorship (including templates, art work and graphics), technology (including software applications, code, scripts, connectors and tools) and other proprietary materials and information that is licensed, owned or developed by KPMG prior to, independently of, or in the course of providing the Services, and any enhancements, improvements and modifications made to, or derivative works of, any of the foregoing; and (ii) KPMG's working papers, working drafts and internal correspondence. For certainty, KPMG Property does not include Client Confidential Information or Client Materials.

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"KPMG Resources" means KPMG, other Member Firms and third-party contractors and suppliers engaged by KPMG or a Member Firm. KPMG Resources may be in or outside of Canada.

"Legal Demand" means a demand, request, subpoena or other legal process issued by a legal, regulatory, professional or government authority having jurisdiction.

"Member Firms" means the members of the KPMG international network of independent firms and entities controlled by, or under common control with, one or more of such members.

"Personal Information" means any information supplied by or on behalf of Client that meets the definition given to that term or analogous terms under Privacy Laws.

"Privacy Laws" means, in respect of a party, all privacy legislation and regulation applicable to such party, in each case as may be updated, amended or replaced from time to time.

"Services" means the services to be provided by KPMG as set out in the Engagement Letter.

"Terms and Conditions" means these Terms and Conditions for Advisory and Tax Services.

Other capitalized words in these Terms and Conditions shall have the meanings given to them in the Engagement Letter.

2. Services.

- a. Any work performed by KPMG on the Services prior to or following the execution of this Agreement shall be governed by this Agreement.
- b. KPMG may engage other KPMG Resources to assist KPMG in the performance of the Services, provided that KPMG remains responsible to Client for the performance of any Services by KPMG Resources. Client agrees that any Claim relating to the Services, the Deliverables or this Agreement may only be made against KPMG and not against any other KPMG Resource.
- c. KPMG will, in performing the Services, rely on the facts, assumptions, data, material and other information furnished by or on behalf of Client without any independent investigation or verification. Inaccuracy or incompleteness of such facts, assumptions, data, material and other information could have a material effect on KPMG's conclusions or the results or performance of the Services or Deliverables.
- d. After the completion of the engagement, unless Client separately engages KPMG to do so, KPMG will not update the Services or Deliverables for changes in law or regulations, or to the judicial and administrative interpretations thereof, or for subsequent events or transactions.
- e. Unless expressly stated in the Engagement Letter, the Services do not include: (a) any lobbying activity, as defined in all applicable federal, provincial and municipal lobbyist registration statutes and regulations; or (b) the provision of legal advice.
- f. Except as otherwise set forth in the Engagement Letter, Client acknowledges that completion of the engagement or acceptance of the Deliverables will not constitute a basis or be relied upon for Client's assessment or evaluation of internal control over financial reporting, disclosure controls and procedures, officer certification requirements, or Client's compliance with any requirements for an internal control report from management.

3. Client Responsibilities.

- a. Client agrees to cooperate with KPMG in the performance of the Services and shall provide KPMG with timely access to and use of the Client Materials, personnel and facilities necessary for KPMG to perform the Services. Client shall promptly respond to KPMG inquiries, review reports and advise KPMG of any additional work Client would like KPMG to perform. The Engagement Letter may set forth additional responsibilities of Client in connection with the engagement. Client acknowledges that Client's failure to perform its obligations under this Agreement could adversely impact KPMG's ability to perform the Services, and/or to perform them in accordance with the fees and timelines set out in the Engagement Letter.
- b. Where the Services contemplate access to Client Materials, Client represents and warrants that Client has secured all rights, licenses, consents and permissions necessary for KPMG Resources to receive, use, copy, modify and incorporate such Client Materials to the extent required for KPMG to provide the Services and Deliverables.
- c. Client agrees that, while the Services may include advice and recommendations, all decisions in connection with the implementation of such advice and recommendations shall be the responsibility of, and made by, Client. Client, and not KPMG, shall perform the following functions: (i) make all management decisions and perform all management functions; (ii) designate an individual who possesses suitable skill, knowledge and experience, preferably within senior management, to oversee the performance of the Services, and to evaluate the adequacy and results of such Services; (iii) accept responsibility for the results of such Services; and (iv) establish and maintain internal controls over the processes with which such Services are concerned, including, without limitation, monitoring ongoing activities.

4. Ownership, Use and Disclosure of our Advice.

- a. Subject to Client's payment in full of all fees owing under the Engagement Letter: (i) Client shall be the owner of any final Deliverables, excluding any KPMG Property embodied therein; and (ii) with respect to KPMG Property embodied therein, KPMG grants to Client a perpetual, royalty-free, non-exclusive, non-transferable and non-sublicensable license to use such KPMG Property solely in connection with Client's internal use of the Deliverables as intended under the Engagement Letter. Subject to KPMG's confidentiality obligations hereunder, KPMG Resources are entitled to use or develop the knowledge, experience and skills of general application gained through the provision of the Services.

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- b. The Services and Deliverables are provided for Client's sole benefit and internal use as intended under the Engagement Letter, and are not for the benefit or use of, or to be relied upon by, any other party. KPMG does not assume any responsibility to any party other than Client in respect of the Services or Deliverables. Accordingly, in the event of a Claim by any third party (including any Client Affiliate) against KPMG that arises out of or relates to the Services or Deliverables, Client will indemnify and hold harmless KPMG from all such Claims, including, without limitation, reasonable legal fees. For purposes of this Section 4(b), the term KPMG shall include KPMG Parties.
- c. Client may not rely on any oral, draft or interim advice or Deliverables. Where Client wishes to rely on oral, draft or interim advice or Deliverables, Client shall request that KPMG provide confirmation in writing.
- d. Client may disclose a copy of any final Deliverable: (i) in response to a Legal Demand or otherwise to the extent required by law; (ii) on a non-reliance basis to Client's legal and other professional advisors if seeking advice in relation to the Services; and (iii) on a non-reliance basis to Client's Affiliates who need to know in order to facilitate Client's use of the Deliverables; provided that in each case Client notifies the recipient that the Deliverables are confidential and that, to the fullest extent permitted by law, KPMG accepts no responsibility to them in connection with the Services or the Deliverables. Client may not otherwise disclose, publish or otherwise make available any Deliverable (in whole or in part) to any third party without the prior written consent of KPMG. This Section 4(d) is subject to Section 16(f) (Additional Terms for Tax Services).
- e. Where Client is permitted to disclose Deliverables to third parties under this Agreement, they may only be disclosed in whole, unless otherwise agreed to or required by KPMG. Deliverables may not be modified by Client. Notwithstanding Client's ownership of any Deliverable, KPMG may retain copies of the Deliverables.

5. Confidentiality.

- a. Except with the disclosing party's prior written consent, or as otherwise expressly provided in this Agreement, each party will hold the other party's Confidential Information in confidence and use it only to perform or receive the Services, as applicable, or to exercise its rights and perform its obligations under this Agreement. The receiving party shall protect the disclosing party's Confidential Information as it protects its own Confidential Information, but in no event shall exercise less than reasonable care.
- b. KPMG may share Confidential Information of Client with other KPMG Resources who are assisting KPMG in the performance of the Services.
- c. The receiving party may disclose Confidential Information of the disclosing party: (i) to the extent required by law or professional standards; (ii) to its professional advisors and insurers in relation to any dispute concerning this Agreement; and (iii) in the case of a Legal Demand, provided that the receiving party will exercise commercially reasonable efforts to afford the Confidential Information all available confidentiality protections.
- d. Each party may share Confidential Information of the other party (in the case of KPMG, with other KPMG Resources and KPMG Parties, and in the case of Client, with third parties engaged by Client), as reasonably required to facilitate the operation of its business or support its infrastructure, including for the performance of administrative, clerical and technological operations and functions, to manage its relationship with the other party and, in the case of KPMG, to comply with its professional obligations and standards (including for quality assurance and risk management purposes). Any such disclosure shall be under obligations of confidentiality to the same or similar extent as the parties have agreed to hereunder, and each party shall be responsible to the other for any failure to comply with such conditions of confidentiality.
- e. KPMG Parties and KPMG Resources may use information obtained while performing engagements for business-related purposes including developing new or improving existing services, technologies, data sets and benchmarks, conducting analytics and training cognitive systems. Where this involves Confidential Information of Client, it will not be disclosed to other third parties unless de-identified, anonymized and/or aggregated so as not to be attributable to Client.
- f. KPMG may disclose the general nature of its engagement for Client as reasonably required in order to assess and address conflicts of interest.
- g. Professional standards require KPMG personnel performing any assurance services for clients to have available to them all information that may affect the assurance engagement. If Client is or becomes an assurance client, KPMG personnel performing Services under this Agreement are authorized to make information from the engagement available to the KPMG assurance engagement team, who may use all such information in KPMG's assurance engagement.

6. Privacy.

- a. Each party will comply with Privacy Laws in connection with the engagement. Additionally, KPMG shall process Personal Information in accordance with this Agreement and KPMG's Privacy Policy available at www.kpmg.ca. Client will provide all notifications and obtain all consents required by Privacy Laws to permit KPMG Resources and KPMG Parties to process such Personal Information in connection with the engagement. Upon request, each party shall provide the other with information and co-operation relating to its processing of Personal Information as reasonably required in order for the other to satisfy its obligations under Privacy Laws.
- b. KPMG will use reasonable technical and organizational measures to protect against unauthorized or unlawful processing of Personal Information and accidental loss or destruction of, or damage to, Personal Information. Subject to each party's standard internal archival and information back-up processes and except as required to comply with applicable laws or professional standards, each party will destroy Personal Information when no longer needed for the uses set out in this Agreement.

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7. Fees.

- a. Invoices will be rendered on a regular basis or otherwise specified in the Engagement Letter. KPMG's professional fees are subject to an additional technology and support charge which covers costs such as client service personnel computer hardware and customized KPMG software, telecommunications equipment, client service professional administrative support, IT programming, professional services and other client support services. Other direct out-of-pocket costs and expenses, such as travel, will be charged separately based on actual costs. KPMG's professional fees and other charges do not include any applicable federal, provincial or other sales taxes, tariffs or duties, which shall be added to the invoice and paid by Client. Accounts are due when rendered.
- b. KPMG may be requested by Client or be subject to a Legal Demand to produce documents or personnel as witnesses or for interviews in a proceeding or investigation to which KPMG is not a named party. In such circumstances, KPMG may charge Client at its standard billing rates for professional time and expenses, including reasonable legal fees, incurred in responding to such request or Legal Demand.
- c. Where a completion fee is contemplated in the Engagement Letter, in the event that the engagement is terminated and Client proceeds to complete the applicable transaction or financing within 18 months from the termination date, then the full amount of the completion fee shall be payable on closing of the transaction or the completion of financing, regardless of whether KPMG provided further service.

8. Limitation on Liability.

- a. KPMG shall not be liable to Client for any Claims in any way arising out of, or in any way relating to, the performance of the Services, including without limitation the termination thereof, for an aggregate amount that is more than the fees paid to KPMG under this Agreement, except to the extent finally determined to have resulted from KPMG's fraud or wilful misconduct.
- b. KPMG shall not be liable to Client for consequential, special, indirect, incidental, punitive or exemplary damages, or any loss of revenue or profit or other commercial or economic loss, even if advised of the possibility thereof.
- c. Where Client has suffered a Claim in relation to the Services and parties other than KPMG Resources are partially responsible for such Claim, then KPMG is only liable for, and Client may only claim from KPMG, KPMG's share of the total liability based on degree of fault or negligence, subject to the limitations set out in Sections 8(a) and (b) above.
- d. For purposes of this Section 8, the term KPMG shall include KPMG Parties. The provisions of this Section 8 shall apply regardless of the form of claim, whether in contract, statute, tort (including, without limitation, negligence) or otherwise.

9. Termination and Survival.

- a. Unless terminated sooner in accordance with its terms, this Agreement terminates when KPMG issues its final invoice to Client.
- b. This Agreement may be terminated by either party: (i) at any time by giving written notice to the other party not less than 30 days before the effective date of termination; or (ii) on 10 days' written notice to the other party should the other party fail to fulfil its obligations under this Agreement and not rectify such failure prior to the expiration of such 10-day period. KPMG may also terminate this Agreement upon written notice to Client if there is a change of laws or professional standards or a change in circumstances or information that would, in KPMG's opinion, cause the continued provision of Services to violate such laws or professional standards.
- c. Without limiting its rights or remedies, KPMG shall have the right to suspend or terminate the Services for non-payment of fees.
- d. Upon early termination of the engagement, Client shall be responsible for the payment of KPMG's time and expenses incurred up to the effective date of termination, as well as reasonable time and expenses to bring the engagement to a close in a prompt and orderly manner. Otherwise, neither party will be responsible for any loss, cost or expense resulting from termination of this Agreement in accordance with its terms.
- e. Except for Sections 2(c), 2(e), 3(a) and 10, these Terms and Conditions shall survive the expiration or termination of the engagement and this Agreement.

10. Force Majeure.

Neither party shall be liable for any delays in the performance of its obligations hereunder, other than payment obligations, arising out of or caused by, directly or indirectly, circumstances or causes beyond its control, including, without limitation, fire or other casualty, strike or labour dispute, war or other violence, any law, order or requirement of any governmental agency or authority, or any epidemic, pandemic or quarantine.

11. Conflicts of Interest.

In accordance with applicable professional standards, based upon the information provided by Client, KPMG performs a search for any conflicts of interest in connection with the Services. Where such a conflict of interest is identified, KPMG will, subject to confidentiality, disclose the nature of the conflict to Client, the ethical dividers and other safeguards to be implemented, and seek Client's consent. Notwithstanding the foregoing, KPMG may advise any other client making a competing bid or proposal to Client, whether or not KPMG is advising Client in respect of Client's bid or proposal. For certainty, a conflict of interest does not arise solely because KPMG or another Member Firm is, was or will be engaged by another client who is a business competitor, customer or supplier of Client.

12. Publicity and Use of Logo.

Neither party shall acquire any right to use the name or logo (or any part thereof) of the other party in any manner or medium, except that Client gives KPMG a limited, revocable, non-exclusive, paid-up, royalty free right to use Client's name and logo as follows: (a) in

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presentations and reports to Client; (b) for internal KPMG presentations and intranet sites; and (c) upon the closing of a transaction (if applicable), KPMG may, at its expense, publicize its association with the transaction by way of public announcement in “tombstone” or similar format, subject to prior review of such public announcement with Client. KPMG may also reference Client’s name as a customer in KPMG proposals and marketing materials, including KPMG websites and social media, indicating the general services rendered.

13. Miscellaneous.

- a. The parties hereto are independent contractors, and nothing contained in this Agreement shall be construed as creating any agency, partnership, joint venture or other form of joint enterprise, employment, or fiduciary relationship between them. Neither party shall act or represent itself, directly or by implication, as an agent of the other or in any manner assume or create any obligation on behalf of, or in the name of, the other.
- b. Client acknowledges that it has had the opportunity to obtain legal advice with respect to Client’s rights and obligations under this Agreement.
- c. The parties consent and agree to the use of electronic signatures with respect to this Agreement and any other agreements, notices or communications contemplated hereby, where permissible by law.
- d. This Agreement shall be binding upon and enure to the benefit of the parties hereto and their respective successors, executors, administrators, heirs and permitted assigns, as applicable. Except as expressly provided herein, neither party may assign or transfer any of its rights or obligations hereunder without the prior written consent of the other party. KPMG may assign its rights and obligations hereunder to any Affiliate or successor in interest to all or substantially all of the assets or business of the relevant KPMG practice, without the consent of Client.
- e. The provisions of this Agreement shall only apply to the extent that they are not prohibited by a mandatory provision of applicable law, regulation or professional standards. If any of these provisions shall be held to be invalid, void or unenforceable, the remaining provisions shall not be affected, impaired or invalidated, and each such provision shall be valid and enforceable to the fullest extent permitted by law.
- f. KPMG is a registered limited liability partnership (LLP) established under Ontario laws. A partner in an LLP is not personally liable for any debts, obligations or liabilities of the LLP, including those that arise from any negligent act or omission by another partner or by any person under that other partner’s direct supervision or control. Partners of an LLP are personally liable only for their own actions and omissions, and for the actions and omissions of those they directly supervise or control.

14. Entire Agreement.

This Agreement constitutes the entire agreement between KPMG and Client with respect to the engagement and supersedes all other oral and written representations, understandings or agreements relating to the Services. Except as expressly stated in this Agreement, KPMG expressly disclaims and makes no representations, conditions or warranties of any kind or nature with respect to the Services or Deliverables, express or implied, including warranties of merchantability, fitness for a particular purpose or use, or non-infringement. Any changes to this Agreement must reference this Agreement, be in writing and be signed by an authorized signatory of each party.

15. Governing Law and Disputes.

- a. This Agreement shall be subject to and governed by the laws of the Province in which KPMG’s principal Canadian office performing the engagement is located (without regard to such Province’s rules on conflicts of law).
- b. All disputes arising out of or in connection with this Agreement or the Services, or in respect of any legal relationship associated with or derived from this Agreement, shall be finally resolved by arbitration under the Arbitration Rules of the ADR Institute of Canada, Inc. The seat of arbitration will be the city in Canada in which KPMG’s principal office performing the Services is located. The arbitration shall be conducted in English.

16. Additional Terms for Tax Services.

The following provisions also apply where KPMG is engaged to perform Canadian and/or United States tax services:

- a. KPMG will consider the applicable provisions of the relevant taxing statutes, the regulations thereunder, applicable tax treaties and judicial and administrative interpretations thereof. In the case of Canadian tax services only, KPMG will also take into account all specific proposals to amend such statutes, regulations and treaties publicly announced prior to the date of KPMG’s reports, based on the assumption that these amendments will be enacted substantially as proposed. For certainty, in the case of US tax services, KPMG shall not take into account any specific proposals to amend such statutes, regulations and treaties. These authorities are subject to change, retroactively and/or prospectively, and any such changes could affect the validity of KPMG’s advice and may result in incremental taxes, interest or penalties. KPMG’s advice will not otherwise take into account or anticipate any changes in law or practice, by way of judicial, governmental or legislative action or interpretation. Unless Client specifically requests otherwise, KPMG will not update tax work to take any such changes into account.
- b. All tax returns and filings are subject to examination by tax authorities, and KPMG’s advice may be audited and challenged by a tax authority. Client understands that KPMG’s conclusions are not binding on tax authorities or the courts and should not be construed as a representation, warranty or guarantee that the tax authorities or courts will agree with KPMG’s conclusion.
- c. KPMG is not responsible for any taxes, penalties or interest assessed against Client, or for any form of loss suffered by Client, as a result of a failure by Client to (i) provide KPMG with accurate and complete information or (ii) implement KPMG’s advice in accordance with KPMG’s recommendations.

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- d. Unless expressly provided for in the Engagement Letter, KPMG's services do not include representing Client in the event of a challenge by the Canada Revenue Agency, the United States Internal Revenue Service ("IRS") or other tax or revenue authorities.
- e. A number of domestic and foreign jurisdictions, including, among others, Canada, the Province of Quebec, the United States and the European Union, are enacting or have enacted mandatory disclosure regimes ("MDRs"), which require taxpayers and/or their advisors to provide notice of or disclose certain transactions, agreements or arrangements ("Reportable Arrangements") to the relevant local taxing authorities. Non-compliance with MDRs may result in adverse tax consequences, including significant penalties. Accordingly, the parties hereby agree that KPMG, other Member Firms located outside of Canada who are involved in the Services, and/or Client may, as required, disclose details of the advice and/or work product provided under this Agreement to relevant taxing authorities with respect to a Reportable Arrangement (an "MDR Disclosure"). Unless prevented by law, KPMG will use commercially reasonable efforts to inform Client if KPMG is required to make, or KPMG becomes aware that another Member Firm is required to make, an MDR Disclosure. Unless prevented by law, Client will use commercially reasonable efforts to inform KPMG if Client or any of Client's other advisors is required to make an MDR Disclosure or if an MDR Disclosure was required prior to the engagement for any part of a series of transactions within the scope of the engagement. Client is advised to consult with a tax or legal professional service provider proficient in such MDRs for assistance in this regard; for greater certainty, unless expressly provided for in the Engagement Letter, the Services do not include advice in relation to the application of, and compliance with, MDRs. To the fullest extent permitted by law, KPMG is not liable to Client for any consequences that may result or arise from or otherwise be connected with any MDR Disclosure made by KPMG or another Member Firm in good faith.
- f. The prohibitions on Client set out in Sections 4 and 5 of these Terms and Conditions regarding the disclosure, publication or other distribution of KPMG's reports and written advice or information provided by KPMG, or any similar prohibition set out in the Engagement Letter, shall not apply, and no provision of this Agreement is or is intended to be construed as: (i) confidential protection within the meaning of subsection 237.3(1) of the Income Tax Act (Canada) (the "ITA") or any applicable regulations thereunder; (ii) a condition of confidentiality within the scope of the Internal Revenue Code of 1986 ("IRC") section 6011 as implemented through Treasury Regulation 1.6011-4(b)(3)(i) (without regard to references to payment or receipt of a minimum fee); or (iii) any similar confidentiality protection or condition under any similar or analogous provisions of the laws of any province, state or other jurisdiction. In particular, Client may disclose to any and all persons, without limitation of any kind, tax information, advice and other materials KPMG provides to Client relating to the tax treatment, details or structure of a transaction or series of transactions within the scope of the engagement. Client will use commercially reasonable efforts to inform KPMG of any confidential protection or conditions of confidentiality imposed by any third-party advisor or promoter with respect to any transaction or series on which KPMG's services are requested. Such notification must occur prior to KPMG providing any advice with respect to the transaction or series.

Notwithstanding the foregoing, Client acknowledges and agrees that all tax Services and Deliverables are designed to meet Client's agreed requirements only, as determined by Client's needs at the time, and are not suitable to be used by any party other than Client. KPMG assumes no responsibility and accepts no liability to any person or entity other than Client in respect of the tax Services and Deliverables. Accordingly, Client agrees, in connection with any disclosure by or on behalf of Client of any such information to a third party: (i) Client accepts the risk of such disclosure and will not hold KPMG responsible if such disclosure results in adversity to Client; (ii) Client will, at the time of disclosure, inform the third party that KPMG accepts no responsibility or liability to such person in connection with the information disclosed; (iii) as the information is not to be relied upon by the third party, the third party shall have no grounds for holding KPMG responsible or liable to them or other person(s) in connection with the information disclosed; and (iv) if, notwithstanding such expectations, a Claim is incurred by KPMG as a result of, arising from or in connection with any such disclosure, Client will indemnify and hold harmless KPMG against such Claim (including, without limitation, reasonable legal fees). In this subsection 16(f), "KPMG" shall include KPMG Parties. The foregoing indemnification obligation shall apply regardless of the form of Claim, whether in contract, statute, tort (including, without limitation, negligence) or otherwise.

- g. Where the Services or any part thereof will be provided by the United States Member Firm, Client acknowledges that the personnel providing such Services may not be licensed as certified public accountants under the laws of any of the various states.

17. Additional Terms for Due Diligence Services (Tax and Transaction Services).

As used herein, "Target" refers to the entity(ies) or division(s) (which may include Client or divisions of Client) representing the subject of the due diligence assistance procedures, as set out in the Engagement Letter.

- a. KPMG will only perform the procedures as specified in the Engagement Letter. These procedures are limited in nature and extent to those determined by Client to meet its needs and, as such, will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. KPMG does not guarantee the sufficiency of these procedures for the purpose for which KPMG has been engaged or for any other purpose. KPMG's findings will not constitute recommendations to Client to proceed or not proceed with any proposed transaction. KPMG will rely exclusively upon information provided to KPMG by Target and Client, and any publicly available information obtained by KPMG, without independently verifying such information.
- b. KPMG's procedures with respect to Target's financial information will be substantially less in scope than any audit or other attestation standards, including without limitation those established by the Auditing and Assurance Standards Board in Canada. Future-oriented financial information is based on assumptions regarding future events; actual results will vary from the information presented and the variations may be material. Accordingly, KPMG expresses no opinion and provides no assurance regarding Target's future-oriented financial information, financial statements or internal controls over financial reporting.
- c. Client may request that KPMG's report be distributed to a third party (other than Target) for informational purposes, or to Target for purposes of confirming the factual accuracy of the information contained therein. Unless specifically requested by Client, KPMG will not seek Target's confirmation of the factual accuracy of the information presented in KPMG's report. As a condition of any such disclosure,



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Client shall execute, and require the third party (or Target, as applicable) to execute a hold harmless letter in a form provided by KPMG regarding the release of information.

- d. If KPMG provides services to Target, Client agrees and acknowledges that KPMG may be in possession of confidential information concerning Target that may be relevant to the Services. KPMG will not disclose any such confidential information to Client unless Target provides prior written consent to such disclosure or provides such information directly to Client or to the KPMG engagement team under this Agreement for purposes of the Services. In addition, if KPMG serves as independent auditors of Target, KPMG's professional standards may require the KPMG team serving Client to disclose to the KPMG audit team serving Target information affecting the audit of Target.



{{GUIDANCE_14}}

Private & Confidential

{{CLIENT_CONTACT_NAME_TITLE}}
{{CLIENT_LEGAL_NAME}} (“**Client**”)
{{CLIENT_ADDRESS_LINE_1}}
{{CLIENT_ADDRESS_LINE_2}}
{{CLIENT_COUNTRY_2}}

{{FAL_DATE}}, 202x

Dear {{CLIENT_CONTACT_NAME}}:

In connection with your consideration of various strategic alternatives relating to Project {{PROJECT_CODE_NAME}}, Client has requested that KPMG LLP (“**KPMG**”):

1. Provide {{THIRD_PARTY_LEGAL_NAME}} (the “**Recipient**”) and/or the Recipient’s professional advisors with a copy of our sell-side due diligence report (the “**Document**”); and
2. answer questions related to the Document or provide an explanation of other matters involving Client of which we have knowledge

(collectively, the “**Information**”).

Before we can provide Information to the Recipient and/or its professional advisors, we require your consent (evidenced by your signature below) and a copy of the attached letter signed by the Recipient. For certainty, KPMG has not placed any limitations on Client’s ability to disclose any tax information, advice and other materials KPMG provides to Client relating to the tax treatment, details or structure of a transaction or series of transactions within the scope of the engagement described above.

You acknowledge that the Information was prepared or obtained by KPMG solely in accordance with the engagement letter between KPMG and Client and for no other purpose, and that the Information is subject to the terms and conditions set out in the engagement letter (and its addendum) except to the extent expressly varied by this letter. You further acknowledge the parties’ intention that the Information is not to be relied upon by the Recipient or other third parties, and therefore, neither you, the Recipient nor any other third party shall have any grounds to assert any actions, damages, claims, fines, penalties, complaints, demands, suits, proceedings, liabilities, costs, expenses or losses that directly or indirectly arise from or are related to the provision of the Information to the Recipient and/or its professional advisors or any omission thereto (collectively, “**Claims**”) against KPMG. If, notwithstanding such intention, any Claims are asserted, pursued or brought against KPMG, Client agrees that it will fully release, indemnify and hold harmless KPMG from such Claims, including, without limitation, in respect of reasonable legal fees.

For the purposes of this letter, the term KPMG shall include its subsidiaries, its associated and affiliated entities and partnerships, and their respective current and former partners, directors, officers, employees, agents and representatives.



Our time and reasonable out-of-pocket expenses in connection with any work required in connection with providing the Information to the Recipient and/or its professional advisors will be billed to you at our standard per diem rates.

Please indicate your consent and acceptance to the terms of this letter by signing and returning a copy to the undersigned.

Yours very truly,

KPMG LLP

By: {{SIGNING_PARTNER_NAME_2}}, CPA, CA
Partner, Deal Advisory

We are in agreement with the terms of this letter and to the release of the Information to the Recipient and/or its professional advisors.

{{CLIENT_LEGAL_NAME}}

Signature

Print name and title

Date

Enclosures:
Maps
Charts
Plans

cc:
Peter
Andrew



**{{GUIDANCE_15}}**

{{RECIPIENT_SIGNATORY_NAME}}
{{RECIPIENT_LEGAL_NAME}}
{{CLIENT_ADDRESS_LINE_1}}
{{CLIENT_ADDRESS_LINE_2}}
{{CLIENT_ADDRESS_LINE_3}}

{{RELEASE_DATE}}, 202x

Re: Release of Project {{PROJECT_CODE_NAME}} due diligence deliverables

In connection with the potential sale of {{CLIENT_LEGAL_NAME_FULL}} ("Client"), Client has requested that KPMG LLP ("KPMG"):

1. provide the Recipient and/or the Recipient's professional advisors with a copy of our sell-side due diligence report(s)/deliverables relating to Project {{PROJECT_CODE_NAME}} (the "**Document(s)**"); and
2. answer questions related to the Document(s) or provide an explanation of other matters involving Client of which we have knowledge

(collectively, the "**Information**").

In consideration of KPMG providing the Recipient and/or its professional advisors with the Information, the Recipient agrees, and shall cause its professional advisors to agree, to the following:

- a) KPMG neither warrants nor represents that the Information is accurate, complete, sufficient or appropriate for any purpose contemplated by the Recipient or its professional advisors;
- b) the Information is being provided by KPMG on a non-reliance basis, and KPMG shall not be liable for any reliance that the Recipient or its professional advisors may place on the Information;
- c) KPMG's provision of the Information is not intended to replace any other inquiries or procedures that the Recipient or its professional advisors should undertake for their own purposes;
- d) KPMG does not have any other duties, responsibilities or obligations to the Recipient or its professional advisors as a result of providing the Information;
- e) the Recipient and its professional advisors acknowledge that they have no grounds to assert any actions, damages, claims, fines, penalties, complaints, demands, suits, proceedings, liabilities, costs, expenses or losses that directly or indirectly arise from or are related to KPMG providing the Information to the Recipient or its professional advisors or for any omission thereto (collectively, "**Claims**") against KPMG;
- f) if, notwithstanding the acknowledgement in paragraph e) above, a Claim is made against KPMG, the Recipient will fully release, indemnify and hold harmless KPMG from such Claims, including, without limitation, in respect of reasonable legal fees;
- g) the Information will be maintained in strict confidence by the Recipient and its professional advisors and will not be disclosed to any other person or entity unless required by law or professional standards. The foregoing provision of this paragraph g) shall not apply to any Information relating to tax information, advice



and other materials relating to the tax treatment, details or structure of a transaction or series of transactions;
and

- h) in the event that disclosure of the Information is required by law or professional standards, the Recipient and its professional advisors shall notify KPMG promptly prior to making such disclosure unless prohibited from doing so under applicable law.

For the purposes of this letter, the term KPMG shall include its subsidiaries, its associated and affiliated entities and partnerships, and their respective current and former partners, directors, officers, employees, agents and representatives.

Please indicate your acceptance to the terms of this letter by signing and returning one copy of this letter to the undersigned.

Yours very truly,

KPMG LLP

By: {{SIGNING_PARTNER_NAME_2}}, CPA, CA
Partner, Deal Advisory

The terms of this letter are accepted and agreed by the Recipient.

{{RECIPIENT_LEGAL_NAME}}

Signature

Print name and title

Date

Enclosures:

Maps
Charts
Plans



cc:
Peter
Andrew



{{GUIDANCE_16}}

{{FAL_LETTER_DATE}}

KPMG LLP

{{FAL_ADDRESS}}

Dear {{SIGNING_PARTNER_NAME}}:

We are writing at your request to confirm our understanding that your engagement was to provide pre-sale due diligence assistance in respect of a potential transaction involving {{CHOICE_CLIENT_OR_TARGET}} and/or one or more of its subsidiaries. In connection with your engagement, we confirm, to the best of our knowledge and belief, the following representations made to you:

1. Procedures performed by KPMG LLP were limited in nature and extent to those which we believed would best fit our analysis, and, as such, may not necessarily disclose all significant matters about or reveal errors or instances of fraud, if any, in the underlying information;
2. We have made available to you all financial records and related data regarding {{CHOICE_CLIENT_OR_TARGET}} in our possession that we believe are relevant to your procedures;
3. We are not aware of any material factual inaccuracies within the report;
4. Opinions and representations which have been attributed to persons referred to in the report/named individuals are properly attributed to those persons;
5. {{FAL_OTHER_REPRESENTATIONS}} and
6. We are not aware of any material facts or information which may have been omitted from the report which may cause it to be fundamentally misleading.

We read your report and the procedures performed are consistent with the procedures that we requested.

Sincerely,

Signature

Print name and title

Date

Enclosures:

Maps
Charts
Plans



cc:
Peter
Andrew